

Double Materiality: Refers to an assessment of both how ESG issues affect a company’s business (“outside in”) and on how the company’s activities impact society and the environment (“inside out”).

Downstream: Refers to emissions associated with products and services once they are owned by a customer.

Employee Net Promoter Score: Based on the concept built around the Net Promoter Score (NPS) to measure employee loyalty, it is a method of measuring how willing your employees are to recommend their workplace to their family or friends.

Employee Resource Groups (ERGs): Voluntary employee led communities designed to enhance professional growth and development and encourage community giving and volunteering.

Energy efficiency: A method of reducing energy consumption by using less energy to attain the same amount of useful output.

Energy intensity: Measured by the quantity of energy required per unit output or activity.

Equity: Equity recognizes that each person has different circumstances and that appropriate resources and opportunities must be provided to achieve equality.

Ethnicity: Large group of people classed according to common racial, national, tribal, religious, linguistic, or cultural origin or background. Like race, ethnicity is a social construct, but it is a more inclusive term.

E-waste: Electronic products that are unwanted, not working and nearing or at the end of their useful life.

Forced labor: All work or service, including forced, bonded (including debt bondage) or indentured labor, involuntary prison labor, slavery or trafficking of persons, that it exacted from any person under the threat of penalty and for which the person has not offered themselves voluntarily.

Future-ready skills: Skills that are suitable and possibly required for new and emerging careers.

Fiscal Year (FY24): Our fiscal year is the 52- or 53-week period ending on the Friday nearest January 31. We refer to our fiscal years that ended February 2, 2024; Jan. 28, 2023; and Jan. 29, 2022; as “FY24,” “FY23” and “FY22,” respectively. FY24 had 52 weeks; FY23 had 53 weeks and FY22 had 52 weeks.

Global Reporting Initiative (GRI): An international independent standards organization that helps businesses, governments and other organizations understand and communicate their impacts on issues, such as climate change, human rights and corruption.

Greenhouse gas (GHG): A gas that contributes to climate change by absorbing radiation, e.g., carbon dioxide, methane and others

Greenhouse Gas Protocol: A set of comprehensive global standardized frameworks to measure and report greenhouse gas emissions from private and public sector operations and value chains.

High water stress locales: Geographic areas where the demand for water exceeds the available amount during a certain period or when poor quality restricts its use. For determining water stress, we use the World Resources

Institute (WRI) Aqueduct Baseline Water Stress indicator. Areas considered water stressed have indicator scores of high or extremely high.

Hispanic-serving Institutes (HSIs): U.S. institutions of higher education with at least 25% total full-time enrollment of Hispanic undergraduate students.

Historically Black colleges and universities (HBCUs): U.S. institutions of higher education established before 1964 for the primary purpose of educating African Americans.

Human rights: Fundamental rights of all people to live and be treated with dignity and respect. They are inherent and every human being is entitled to these rights without discrimination.

Human Rights Impact Assessment (HRIA): A process for systematically identifying, predicting and responding to the potential human rights impacts of a business operation, capital project, government policy or trade agreement.

Human trafficking: A crime that involves exploiting a person for labor, services or commercial sex.

Inclusion: An environment where all team members are respected, feel like they’re part of the group and have equal access to opportunity and involvement.

Information and communications technology (ICT): The ICT sector combines manufacturing and services industries whose products primarily fulfil or enable the function of information processing and communication by electronic means, including transmission and display.

LGBTQ+: An acronym for lesbian, gay, bisexual, transgender and/or queer.

Low emission material: Materials that were produced using a lower emissions source of energy.

Machine learning (ML): The use and development of computer systems that learn and adapt without following explicit instructions by using algorithms and statistical models to analyze and draw inferences from patterns in data.

Materiality: Indicates that a topic has been deemed material in the context of Dell’s ESG report and for purposes of determining our ESG strategy. Materiality references should not be construed as a characterization regarding the materiality of such information to our business or financial results or for purposes of U.S. securities or other applicable law.

Microplastics: Tiny pieces of plastic found on land and water that are a result of plastic pollution, most often referred to in relation to oceans. Plastics do not readily break down but some can fracture into microplastics under certain conditions like sun exposure and ocean turbulence.

Minority-serving institutions (MSIs): U.S. higher education institutions that serve minority populations. They include historically Black colleges and universities, Hispanic-serving institutions, tribal colleges and universities and Asian American and Native American Pacific Islanders-serving institutions (AANAPISIs).

Net zero: A state in which the activities within the value chain of a company result in no net impact on the climate from greenhouse gas emissions.

Ocean-bound plastics: Plastic waste that has not found its way into the ocean and is classified as “mismanaged waste.” That is, plastic that is not being collected and not likely to be collected and is found on the ground within 50 kilometers of a waterway or coastal area.

Offset: A consideration or amount that diminishes or balances the effect of a contrary one. Typically used in the context of greenhouse gases.

On-site renewable energy generation: The action of generating renewable energy at the location where the energy is consumed.

Open loop: In an open-loop system, materials are reprocessed for use cross industries or functionality, like plastic recycled from water bottles for use as a laptop lid.

Optimized data center: A strategically designed and efficiently managed facility that maximizes performance, minimizes costs and enhances sustainability.

Partners: Collaborators, customers or suppliers in a company’s value chain.

Pay equity: Compensation based on legitimate business considerations — not on gender, race, ethnicity or any other protected characteristic.

Post-consumer recycled (PCR) plastic: Materials already used by consumers, recycled and then repurposed into new products and packaging.

Privacy by design standard: A standard which defines minimum privacy requirements for the design, implementation and maintenance of any Dell information system, product, offer or service that involves the processing of personal data.

Product attribute to Impact Algorithm (PAIA): Developed in an industry consortium, PAIA is a streamlined product carbon footprint methodology based on IEC TR 62921 which quantifies GHG emissions for ICT systems based on ISO 14040 and ISO 14044. The PAIA estimation uses limited system attributes of the product such as component dimension, screen size, system weight and annual energy consumption.

Product carbon footprint (PCF): A cradle-to-grave assessment that estimates the potential carbon impacts of a product for customers. PCFs include emissions related to four key product lifecycle stages: manufacturing, logistics or transportation, use and end-of-life.

Product life cycle: The cycle through which every product goes, from introduction to withdrawal or eventual demise. Alternatively, it is the stepwise consideration of all of the relevant steps in the manufacturing (including the production of raw materials), packaging, distribution, usage and end-of-life disposal of a product.

Pulse survey: A short, quick survey administered to employees on a regular basis (monthly, quarterly, etc.), typically used to ascertain feedback regarding topics such as employee satisfaction, job role, communication, relationships and work environment.

Reclaimed carbon fiber: Carbon fiber that has been captured for reuse from waste streams, disposed-of products or other items.

Recycled materials: Material that has been reprocessed from recovered material by means of a manufacturing process (including agricultural waste), often reformulated and then made into a final product or component.

Refurbish: A process that includes, but is not limited to, disassembly or physical modifications to the equipment, part removal and upgrades in order to rend the whole unit available for reuse.

Renewable energy: Energy from a source that is not depleted when used, such as wind or solar.

Renewable energy certificate (REC): A market-based instrument that represents the property rights to the environmental, social, and other non-power attributes of renewable electricity generation issued when one megawatt-hour (MWh) of electricity is generated and delivered to the electricity grid from a renewable energy resource.

Renewable materials: Dell considers a material to be renewable if it can be replenished within a reasonable time frame and its use does not endanger the material’s ability to be replenished.

Responsible Business Alliance (RBA): The world’s largest industry coalition dedicated to corporate social responsibility in global supply chains.

Responsible sourcing of minerals: The act of acquiring mineral materials where social, economic and environmental factors are considered and basic standards are upheld.

Reuse: The practice of extending the lifespan of products or materials by using them again for their original purpose or for a different purpose.

Science Based Targets Initiative (SBTi): An international organization dedicated to ambitious climate action in the private sector by enabling companies to set science-based emissions reduction targets.

Science-based targets: Numerical performance targets, typically related to water or greenhouse gas emissions, that take into consideration the latest knowledge regarding thresholds of undesired outcomes and limits to the planetary carrying capacity.

Scope 1 emissions: Direct greenhouse gas emissions from a company’s own activities, such as fuel combustion, leaks of refrigerant and the use of greenhouse gases in industrial processes.

Scope 2 emissions: Indirect greenhouse gas emissions that are related to purchased energy. Location-based emissions are calculated from the regional energy grid, while market-based emissions align to the contracted source of the energy purchased.

Scope 3 emissions: Indirect greenhouse gas emissions that are the result of activities and assets in the value chain that are not directly owned or controlled by the reporting organization.

Single-use plastics: Plastic items designed to be used once before being disposed of.

Social impact: The net effect of a company or activity on a community and the well-being of individuals and families.

Software Bill of Materials (SBOM): A list of all open source and third-party components present in a software.

Solar Community Hub: Units that enable people of all ages, even in the most remote communities, to engage with the digital world. Depending on community needs, a Hub may be fixed, mobile or a Portable Connectivity Center (PCC).

Sponsorship: A function of our culture of advocacy; influential leader advocating supports scalable talent in reaching positions of greater influence and responsibility.